Preface

India has come into middle income, with a $3 trillion economy. We had a great surge of growth from 1991 to 2011, drawing on a new intellectual framework of policy that was built from 1977 onwards. For the first time in India's history, there was a substantial decline in the number and the share of those in poverty.

The period after 2011 has seen a retreat from the optimism of 1991–2011. This is a cause for great concern. We have a finite window of opportunity with a young workforce. We must get rich before we get old.

We need to change course and obtain the sustained economic growth through which we will utilize our workforce, which will get us to the edges of the advanced economies in thirty years. We must do this in order to transform the lives of hundreds of millions of people, to meet our tryst with destiny. We must do this to stave off the social stress that will come from a large mass of people who are not working. For these reasons, the great question of the age is: *Why did the reforms introduced from 1977 onwards deliver success during 1991–2011, but falter thereafter?*

What is to be done? In this book, we try to tell a story about why we underperformed, and how to get back on the growth turnpike. Intensification of the 1977–2011 strategies will not suffice: what is required is rethinking the foundations. While we have got to a $3 trillion economy, we are lagging on creating the institutional frameworks of an ambitious middle-income emerging economy.

Economic policy operates at the intersection of economics and politics. The ideal policy pathways must be worked out on blackboards, but then the conflicts of democratic politics are played out and determine the policy choices in the real world. Hence, our analysis draws as much on the